KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO

FINANCIAL STATEMENTS
WITH INDEPENDENT AUDITOR'S REPORT

YEARS ENDED AUGUST 31, 2019 AND 2018

KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO

FOR THE YEARS ENDED AUGUST 31, 2019 AND 2018

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GIBSON RUDDOCK PATTERSON LLC
certified public accountants

INDEPENDENT AUDITOR'S REPORT

To the Management of KTEP-FM and to
The University of Texas at El Paso
El Paso, Texas

We have audited the accompanying financial statements of the business-type activities of KTEP-FM of the University of Texas at El Paso (KTEP-FM), as of and for the years ended August 31, 2019 and 2018, and the related notes to the financial statements, as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the business-type activities of KTEP-FM of the University of Texas at El Paso, as of August 31, 2019 and 2018, and the respective changes in financial position and cash flows thereof for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note 1, the financial statements of KTEP-FM of the University of Texas at El Paso, are intended to present the financial position, the changes in financial position, and cash flows of only that portion of the business-type activities of the University of Texas at El Paso that is attributable to the transactions of KTEP. They do not purport to, and do not present fairly the financial position of the University of Texas at El Paso as of August, 31, 2019 and August 31, 2018, the changes in its financial position, or, where applicable, its cash flows for the years then ended in accordance with accounting principles generally accepted in the United State of America. Our opinions are not modified with respect to this matter.

Other Matters

Required Supplementary Information
Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 3 through 7, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquires, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information
Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise KTEP-FM of the University of Texas at El Paso's basic financial statements. The schedules of functional expenses are presented for purposes of additional analysis and are not a required part of the basic financial statements. The schedules of functional expenses are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statement themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedules of functional expenses are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Gibson Ruddock Patterson LLC

El Paso, Texas
March 2, 2020

MANAGEMENT'S DISCUSSION AND ANALYSIS

Introduction and Reporting Entity

This discussion and analysis of KTEP-FM ("KTEP"), a public radio station operated by the University of Texas at El Paso ("UTEP"), provides an overview of KTEP's financial activities during the years ended August 31, 2019 and 2018.

KTEP is the strongest public radio station in the El Paso market, serving El Paso and the surrounding areas up to 100 miles in radius. In addition to many local programs targeted specifically towards the El Paso community, KTEP also broadcasts news, cultural, and educational programs from National Public Radio and Public Radio International, as well as other independent radio networks. In addition to serving the El Paso community, KTEP also serves as a laboratory for broadcast students.

KTEP is supported in part by the University of Texas at El Paso, which provides space for the station on campus and pays the salaries of most of the full-time employees. The remaining funds come from the KTEP listening community through memberships and underwriting support and grants from the Corporation for Public Broadcasting ("CPB").

KTEP is not a separate legal entity from UTEP and is therefore exempt from income taxes.

Overview of the Financial Statements

KTEP's financial statements present the financial activities of KTEP only, which are a group of accounts within UTEP's accounting system. All amounts contained in these financial statements are included in the financial statements of the University of Texas System, a component unit of the State of Texas.

The financial statements of KTEP are prepared in conformity with Governmental Accounting Standards Board pronouncements. Following this section are the basic financial statements and notes which should be read in conjunction with this discussion and analysis. The Statements of Net Position provide information on the types of assets and liabilities of KTEP, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether KTEP's financial position is improving or deteriorating. The Statements of Revenues, Expenses, and Changes in Net Position provide information on income and expenses for the year, with additional detail of the expenses provided in the supplementary Schedules of Functional Expenses. The Statements of Cash Flows show the sources and uses of cash and the net changes in cash during the year. The Notes to the Financial Statements provide additional information essential to a full understanding of the data provided in the financial statements.

Financial Highlights

A summarized comparison of KTEP's assets, liabilities, and net position at August 31, 2019, 2018 and 2017, are as follows:

	2019	2018	2017
Current assets	**$ 117,947**	$ 93,105	$ 103,333
Capital assets, net	**2,676**	3,568	12,485
Total assets	**$ 120,623**	$ 96,673	$ 115,818
Current liabilities	**$ 86,879**	$ 82,556	$ 55,579
Noncurrent liabilities	**-**	-	-
Total liabilities	**86,879**	82,556	55,579
Net position			
Investment in capital assets	**2,676**	3,568	12,485
Restricted	**-**	2,000	-
Unrestricted	**31,068**	8,549	47,754
Total net position	**33,744**	14,117	60,239
Total liabilities and net position	**$ 120,623**	$ 96,673	$ 115,818

Current assets increased by $24,842 as of August 31, 2019, consisting of an increase in cash of $28,973, offset by reductions in receivables of $1,693, and in prepaid expenses of $2,438. Capital assets decreased by $892 as a result of depreciation. Current liabilities increased by $4,323 as of August 31, 2019, due to timing of payments of programming fees.

KTEP's total net position increased by $19,627 as of August 31, 2019. The decrease in investment in capital assets corresponds with the decrease in capital assets discussed above. The increase in unrestricted net position of $22,519 was the result of operating activities, net of depreciation expense, and use of restricted net position in the amount of $2,000 for the specified purpose.

Current assets decreased by $10,228 as of August 31, 2018, consisting of decreases in cash of $19,176 and receivables of $324, offset by an increase in prepaid expenses of $9,272. Capital assets decreased by $8,917 as a result of depreciation. Current liabilities increased by $26,977 as of August 31, 2018, due to timing of payments of programming fees.

KTEP's total net position decreased by $46,122 as of August 31, 2018. The decrease in investment in capital assets corresponds with the decrease in capital assets discussed above. The decrease in unrestricted net position of $39,205 was the result of operating activities, with the exclusion of depreciation expense and a new restricted net position item of $2,000 for a contribution received for a specific purpose and not spent as of August 31, 2018.

KTEP-FM
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MANAGEMENT'S DISCUSSION AND ANALYSIS

AUGUST 31, 2019 AND 2018

A summarized comparison of KTEP's revenues, expenses and changes in net position for the years ended August 31, 2019, 2018 and 2017 are as follows:

	2019	2018	2017
Operating revenues			
UTEP direct and indirect support	**$ 403,333**	$ 390,623	$ 411,796
Grants	**144,699**	148,409	147,798
Membership, gifts and other	**382,628**	347,549	351,485
Total revenue	**930,660**	886,581	911,079
Operating expenses			
Program services	**629,140**	651,066	658,740
Supporting services	**281,893**	281,637	316,892
Total expenses	**911,033**	932,703	975,632
Operating income (loss)	**19,627**	(46,122)	(64,553)
Change in net position	**19,627**	(46,122)	(64,553)
Beginning net position	**14,117**	60,239	124,792
Ending net position	**$ 33,744**	$ 14,117	$ 60,239

Operating revenues for 2019 increased by a net amount of $44,079 or 5%. Membership, gifts and other revenues increased by $35,079 in 2019, as the result of increased outreach efforts. UTEP's direct and indirect support increased by $12,710, primarily due to paying a percentage of wages of specific students and the increase in wages overall. Grant revenue decreased by $3,710.

Operating expenses for 2019 decreased by $21,670 or 2%. Program services decreased $21,926 as the result of efforts to reduce programming and other costs and a decrease in depreciation expenses. Supporting services increased by $256.

Operating revenues for 2018 decreased by a net amount of $24,498 or 3%. Membership, gifts and other revenues decreased by $3,936 in 2018. UTEP's direct and indirect support decreased by $21,173, primarily due to a change in the cost base to calculate indirect cost, thereby reducing the indirect cost. Grant revenue increased by $611.

Operating expenses for 2018 decreased by $42,929 or 4%. Program services decreased $7,674 as the result of efforts to reduce programming costs. Supporting services decreased by $35,255, partially due to the reduced indirect cost and partially due to efforts to reduce operating costs.

Economic Outlook

Over the past few years, there has been a national trend experienced by the public radio community. Specifically, stations are seeing a decline in listeners. This decline will, of course, have a negative effect on the revenue stream generated through donations. This decline can be attributed to the mortality rates among the core listening audience for public radio which is the upper demographic. This upper demographic, by its very nature, will have a higher incidence of mortalities. KTEP continues to explore programming alternatives designed specifically to attract a younger listener.

Another important revenue stream for KTEP is its underwriting program. With the fiscal year ending in August 2019, KTEP's underwriting grew by 59%. This growth is due to the concentrated efforts to court large corporations and advertising agencies which specifically purchase large amounts of air time for extended periods.

It is expected that KTEP will continue to draw a respectable listenership in the coming years. The challenge will remain to turn those new listeners into an audience that specifically donates to public radio.

Contacting KTEP’s Management

This financial report is designed to provide our listening and membership community and grantors with a general overview of KTEP’s finances. If you have any questions about this report, please contact KTEP’s General Manager at 500 West University Avenue, Cotton Memorial Bldg, Suite 203, El Paso, Texas 79968.

FINANCIAL STATEMENTS

KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO

STATEMENTS OF NET POSITION

AUGUST 31, 2019 AND 2018

ASSETS	**2019**	2018
Current Assets:		
Cash	**$ 103,910**	$ 74,937
Membership and gift receivables	**2,014**	3,707
Prepaid expenses	**12,023**	14,461
Total current assets	**117,947**	93,105
Capital assets, net	**2,676**	3,568
Total assets	**$ 120,623**	$ 96,673

LIABILITIES AND NET POSITION		
Current Liabilities:		
Accounts payable	**$ 86,879**	$ 82,556
Total liabilities	**86,879**	82,556
Net Position		
Investment in capital assets	**2,676**	3,568
Restricted net position	**-**	2,000
Unrestricted net position	**31,068**	8,549
Total net position	**33,744**	14,117
Total liabilities and net position	**$ 120,623**	$ 96,673

The accompanying notes are an integral part of these financial statements.

KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

FOR THE YEARS ENDED AUGUST 31, 2019 AND 2018

	2019	2018
Operating Revenues:		
University of Texas at El Paso direct support	**$ 313,070**	$ 298,490
Indirect administrative and occupancy support from University of Texas at El Paso	**90,263**	92,133
Membership contributions and gifts	**265,980**	255,180
Grants	**144,699**	148,409
Program underwriting	**70,367**	44,247
In-kind contributions	**46,281**	48,122
Total operating revenues	**930,660**	886,581
Operating Expenses:		
Programming and production	**400,951**	411,374
Broadcasting	**156,956**	170,550
Program information and promotion	**71,233**	69,142
Management and general	**222,810**	231,502
Fundraising and membership development	**59,083**	50,135
Total operating expenses	**911,033**	932,703
Operating income (loss)	**19,627**	(46,122)
Change in net position	**19,627**	(46,122)
Net position, beginning of year	**14,117**	60,239
Net position, end of year	**$ 33,744**	$ 14,117

The accompanying notes are an integral part of these financial statements.

KTEP-FM
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STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED AUGUST 31, 2019 AND 2018

	2019	2018
Cash flows from operating activities:		
Direct support from the University of Texas at El Paso	**$ 313,070**	$ 298,490
Cash receipts from membership, gifts, and underwriting	**338,040**	299,751
Cash receipts from grants	**144,699**	148,409
Cash payments for employee salaries and benefits	**(351,182)**	(344,092)
Cash payments to suppliers of goods or services	**(415,654)**	(421,734)
Net cash provided (used) by operating activities	**28,973**	(19,176)
Net increase (decrease) in cash	**28,973**	(19,176)
Cash, beginning of year	**74,937**	94,113
Cash, end of year	**$ 103,910**	$ 74,937
Reconciliation of operating gain (loss) to net cash used by operating activities		
Operating gain (loss)	**$ 19,627**	$ (46,122)
Adjustments to reconcile operating gain (loss) to net cash used by operating activities:		
Depreciation	**892**	8,917
Changes in assets and liabilities:		
Membership and gift receivables	**1,693**	324
Prepaid expenses	**2,438**	(9,272)
Accounts payable	**4,323**	26,977
Net cash provided (used) by operating activities	**$ 28,973**	$ (19,176)

The accompanying notes are an integral part of these financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING AND REPORTING POLICIES

Reporting Entity - KTEP-FM ("KTEP") is a public radio station which is operated by the University of Texas at El Paso ("UTEP") in the Communications Department within the College of Liberal Arts and is governed by the University of Texas System Board of Regents. KTEP operates at the frequency 88.5 on the FM dial, providing news, music, and other programs. KTEP is not a separate legal entity nor is it a separate fund of UTEP. Its financial activity is accounted for as a group of accounts within the UTEP accounting system. All accounting transactions of KTEP are processed by UTEP's administrative offices, and all amounts contained in these financial statements are included in the financial statements of the University of Texas at El Paso which is part of the University of Texas System, a component unit of the State of Texas.

These financial statements present only KTEP and do not purport to, and do not, present fairly the financial position of the University of Texas at El Paso, as of August 31, 2019 and 2018, and the changes in its financial position and cash flows, where applicable, for the years then ended in conformity with accounting principles generally accepted in the United States of America. Complete financial statements of UTEP can be obtained at its administrative offices.

Basis of Financial Statement Presentation and Basis of Accounting - The financial statements of KTEP are presented for the purpose of reporting to the Corporation for Public Broadcasting. KTEP prepares its financial statements in accordance with accounting principles generally accepted in the United Sates of America as prescribed by the Governmental Accounting Standards Board (GASB), and it complies with the Corporation for Public Broadcasting's (CPB) *Application of Principles of Accounting and Financial Reporting to Public Telecommunications Entities.* KTEP uses the reporting model for business-type activities (enterprise fund) for its financial statements, which is one of the reporting model options allowed by CPB.

The financial statements are presented using the economic resources measurement focus and the accrual basis of accounting. Using this basis of accounting, revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of the related cash flows.

Operating revenues and expenses are directly related to programming, production, development, and delivery of telecommunication services. All revenues and expenses not meeting the definition of operating revenues or expenses are reported as non-operating revenues and expenses. Revenues associated with or restricted by donors to use for capital improvements are recorded as nonoperating revenues.

When both restricted and unrestricted resources are available for use, it is KTEP's policy to use restricted resources first, then unrestricted resources as they are needed.

(Continued)

1. SUMMARY OF SIGNIFICANT ACCOUNTING AND REPORTING POLICIES (Continued)

Cash and Cash Equivalents - Cash balances are commingled with other UTEP funds, which are entirely insured or collateralized by depository financial institutions. Since UTEP controls any cash and cash equivalents, it is the responsibility of UTEP to comply with the Depository Contract Law and Public Funds Investment Act. Any of KTEP's funds would be subject to the policies and contractual provisions governing deposits and investments for UTEP. Interest earned on available cash balances is not allocated to KTEP. For purposes of reporting cash flows, KTEP considers highly liquid investments to be cash equivalents if they have a maturity of three months or less when purchased.

Capital Assets - Purchased capital assets are recorded at cost. Donated property is recorded at the acquisition value at the date of receipt. KTEP follows UTEP's capitalization policy and capitalizes equipment costing $5,000 or more and buildings and improvements costing $100,000 or more. Depreciation is calculated using the straight-line method over the estimated useful lives of the related assets over periods of 5 to 30 years. Maintenance and repair costs are charged to expense.

Net Position - Investment in capital assets represents KTEP's capital assets, net of accumulated depreciation, reduced by outstanding debt obligations related to those capital assets. There were no outstanding debt obligations at August 31, 2019 or August 31, 2018.

Unrestricted net position represent resources that are available for the support of KTEP's operations.

Revenues - Grant funding is recognized as revenue when all eligibility requirements imposed by the grantor have been met. Membership contributions, gifts, and underwriting support, are recognized as operating revenues in the period they are received. Non-cash contributed support is recognized as revenue when the goods or services have been provided.

Functional Expenses - Expenses are directly charged to the function that receives the benefit. Payroll expenses of staff whose time benefits more than one function are allocated based upon management's estimate of the percentage of the staff's time spent on each function. Restricted resources are first applied when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

University of Texas at El Paso Support - KTEP receives substantial support from UTEP in the form of direct appropriations and grants for operating and indirect administrative and occupancy support. Revenue for this support is recognized in the period the expenses are incurred. These direct and indirect amounts are included as both revenues and expenses in the statements of revenues, expenses and changes in net position.

(Continued)

1. SUMMARY OF SIGNIFICANT ACCOUNTING AND REPORTING POLICIES (Continued)

Indirect support from UTEP consists of allocated administrative and occupancy costs incurred by UTEP for which KTEP receives benefits. The estimated value of this support is recognized in the statements of revenues, expenses, and changes in net position as indirect administrative support and also as expenses in the management and general functional expense category. Indirect support is calculated using UTEP's Other Sponsored Activities indirect cost rate negotiated with the U.S. Department of Health and Human Services. The approved rate was modified to exclude certain cost components that do not benefit KTEP.

KTEP occasionally receives appropriations from UTEP for capital improvements. This support is reported as non-operating revenues and the related expenditure is capitalized.

In-kind Contributions - Program information services used in operations are donated to KTEP by businesses and non-profit organizations. These in-kind contributions are included in the financial statements at fair value determined on the basis of the donors' usual and customary fees charged to a paying customer for equivalent goods or services. The value of these services was $46,281 and $48,122 for years ended August 31, 2019 and August 31, 2018, respectively. These amounts are included as both support and expenses in the statements of revenues, expenses, and changes in net position.

Fundraising and Membership Development - KTEP does not provide thank you gifts of significant value (premiums) or incur other direct, third-party expenses for special fundraising activities. Anyone making contributions to KTEP is considered a member except for underwriters.

Program Underwriting - Underwriters are those who donate money for a specific program and receive an on-air acknowledgment in the form of an announcement of their program sponsorship.

Advertising - Advertising costs are expensed in the period in which they are incurred.

Income Taxes - As a governmental entity, UTEP is exempt from taxes. As such, KTEP is also exempt from taxes.

Estimates - The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Accordingly, actual results could differ from those estimates.

(Continued)

2. CAPITAL ASSETS

A summary of capital assets activity for the years ended August 31, 2019 and 2018 are as follows:

	Beginning Balance 2018	Additions	Retirement	Ending Balance 2019
Transmission, broadcasting and studio equipment	$ 307,485	$ -	$ -	$ 307,485
	307,485	-	-	307,485
Less accumulated depreciation for:				
Transmission, broadcasting and studio equipment	(303,917)	(892)	-	(304,809)
	(303,917)	(892)	-	(304,809)
Capital assets, net	$ 3,568	$ (892)	$ -	$ 2,676

	Beginning Balance 2017	Additions	Retirement	Ending Balance 2018
Transmission, broadcasting and studio equipment	$ 307,485	$ -	$ -	$ 307,485
	307,485	-	-	307,485
Less accumulated depreciation for:				
Transmission, broadcasting and studio equipment	(295,000)	(8,917)	-	(303,917)
	(295,000)	(8,917)	-	(303,917)
Capital assets, net	$ 12,485	$ (8,917)	$ -	$ 3,568

Total depreciation expenses of $892 and $8,917 for the years ended 2019 and 2018, respectively, were charged to the broadcasting function.

(Continued)

3. PENSION PLANS

Since personnel working for KTEP are employees of UTEP, they are eligible to participate in the benefit programs of UTEP. All full-time employees at KTEP are covered by either the Teacher Retirement System of Texas (TRS) or the Optional Retirement Program (ORP) as UTEP employees. The required employer contribution for KTEP employees is recorded as an expense in these financial statements. The net pension liability related to TRS and the related deferred inflows and outflows of resources are recorded by the University of Texas System, which is a component unit of the State of Texas.

Teacher Retirement System of Texas (TRS)

Plan Description: TRS is a cost-sharing multiple-employer defined benefit pension that has a special funding situation. TRS was established and is administered in accordance with the Texas Constitution, Article XVI, Section 67 and Texas Government Code, Title 8, Subtitle C. The pension trust fund is a qualified pension trust under Section 401(a) of the Internal Revenue code. The Texas Legislature establishes benefit and contribution rates within the guidelines of the Texas Constitution. The pension's Board of Trustees does not have the authority to establish or amend benefit terms.

Pension Plan Fiduciary Net Position: Detailed information about the Teacher Retirement System's fiduciary net position is available in a separately-issued Comprehensive Annual Financial Report that includes financial statements and required supplementary information. That report may be obtained on the internet at https://www.trs.texas.gov/Pages/about_archive_cafr.aspx; by writing to TRS at 1000 Red River Street, Austin, TX 78701-2698; or by calling (512) 542-6592.

Benefits Provided: TRS provides service and disability retirement, as well as death and survivor benefits, to eligible employees (and their beneficiaries) of public and higher education in Texas. The pension formula is calculated using 2.3 percent (multiplier) times the average of the five highest annual creditable salaries times years of credited service to arrive at the annual standard annuity except for members who are grandfathered, the three highest annual salaries are used. The normal service retirement is at age 65 with 5 years of credited service or when the sum of the member's age and years of credited service equals 80 or more years. Early retirement is at age 55 with 5 years of service credit or earlier than 55 with 30 years of service credit. There are additional provisions for early retirement if the sum of the member's age and years of service credit total at least 80, but the member is less than age 60 or 62 depending on date of employment, or if the member was grandfathered in under a previous rule. There are no automatic post-employment benefit changes; including automatic COLAs. Ad hoc post-employment benefit changes, including ad hoc COLAs can be granted by the Texas Legislature as noted in the Plan description above.

(Continued)

3. PENSION PLANS (continued)

Contributions: Contribution requirements are established or amended pursuant to Article 16, section 67 of the Texas Constitution which requires the Texas legislature to establish a member contribution rate of not less than 6% of the member's annual compensation and a state contribution rate of not less than 6% and not more than 10% of the aggregate annual compensation paid to members of the system during the fiscal year. Texas Government Code section 821.006 prohibits benefit improvements, if as a result of the particular action, the time required to amortize TRS' unfunded actuarial liabilities would be increased to a period that exceeds 31 years, or, if the amortization period already exceeds 31 years, the period would be increased by such action.

Employee contribution rates are set in state statute, Texas Government Code 825.402. Senate Bill 1458 of the 83rd Texas Legislature amended Texas Government Code 825.402 for member contributions and established employee contribution rates for fiscal years 2014 through 2017. The 85th Texas Legislature, General Appropriations Act (GAA) affirmed that the employer contribution rates for fiscal years 2018 and 2019 would remain the same.

KTEP covered employees were required to contribute 7.7 % of their annual compensation in 2019, 2018, and 2017. The employer required contribution was 6.8% for 2019, 2018, and 2017 of eligible employees' annual compensation. KTEP's actual contributions to TRS were $6,934, $6,610, and $6,593 for 2019, 2018, and 2017, respectively.

Optional Retirement Program (ORP)

Certain professionals, administrators and faculty may irrevocably elect to participate in the Optional Retirement Program, instead of TRS. ORP is a defined contribution plan administered by the University of Texas (UT) System. Entry into ORP must be elected within 90 days after employment and 100 percent vesting occurs after one year of participation. Covered employees are required to contribute 6.65% of their annual compensation, and the employer contribution is 8.5% (including supplement) of their annual compensation. The contribution rates are established by the Texas Legislature and may fluctuate periodically.

KTEP contributions to ORP were $11,553, $11,273, and $11,279, for 2019, 2018, and 2017, respectively.

(Continued)

4. OTHER EMPLOYEE BENEFITS

Employee Insurance Benefits - The UT System Employee Benefits program provides health and life insurance, disability, long-term care and flexible spending account coverage to all benefits-eligible employees of UTEP. These insurance benefits are provided through both self-funded and fully-insured arrangements. The UT Office of Employee Benefits (OEB) is responsible for the overall administration of the insurance plans. OEB was established by Chapter 1601 of the Texas Insurance Code.

KTEP is required to contribute a portion of the insurance premium at rates established by the Texas Legislature. The rates fluctuate periodically. The employee contributes any premium over and above KTEP's contributions.

Employee Compensable Absences - Employees are entitled to paid vacation of eight to twenty-one hours per month, depending upon the years of employment. UTEP estimates and charges a percentage of employee salaries to KTEP to fund the accrued compensable absences for its employees. The liability for unused vacation is recorded by UTEP.

Postemployment Health and Life Insurance Benefit - Health and life insurance benefits are provided for retired employees (OPEB), in accordance with Texas statutes. Employees become eligible for the health and life insurance benefits as a retired employee if they meet certain age and service requirements.

These benefits are provided to the retirees under the UT System Employee Group Insurance Program (EGIP). The EGIP is a single-employer defined benefit OPEB plan. The authority under which the obligations of the plan members and the System are established and may be amended is Chapter 1601, *Texas Insurance Code.*

The plan's financial information is included in the University of Texas System Consolidated Annual Financial Report that may be obtained from the University of Texas System website at www.utsystem.edu.

The liability for accrued post-employment benefits is recorded by the University of Texas System Administration and not at the individual institutions in the University of Texas System; therefore, KTEP does not record an OPEB liability.

5. RISK MANAGEMENT

KTEP participates in UTEP's self-insured general liability, property and workers compensation coverage program administered by the University of Texas System. Certain of KTEP's specialized equipment is insured under separate commercial insurance policies. KTEP's cost of these insurance programs is primarily funded through direct and indirect support provided by UTEP.

(Continued)

6. CONCENTRATION OF REVENUE

KTEP receives substantial support from UTEP in the form of direct appropriations and grants for operating and indirect administrative and occupancy support.

Direct support for operating includes the cost of KTEP employees, utilities and maintenance for broadcasting facilities, and other direct expenses. Direct support from UTEP was $313,070 and $298,490 for the years ended August 31, 2019 and August 31, 2018, respectively, which represents 34% of operating revenues for both fiscal years 2019 and 2018.

Indirect support from UTEP consists of allocated administrative and occupancy costs incurred by UTEP for which KTEP receives benefits. The estimated value of this support is recognized in the statements of revenues, expenses, and changes in net position as indirect administrative support and also as expenses in the management and general functional expense category. Indirect support is calculated using the UTEP's Other Sponsored Activities indirect cost rate negotiated with the US Department of Health and Human Services. The current approved rate of 33% is effective from September 1, 2016 to August 31, 2020. The rate was modified to exclude certain cost components that do not benefit KTEP, resulting in an applied rate of 15.51%. The value of indirect support was $90,263 and $92,133 for the years ended August 31, 2019 and August 31, 2018, respectively, which represents 10% of operating revenues for both fiscal years 2019 and 2018.

7. LEASE COMMITMENTS

KTEP leases land for its broadcasting and transmission equipment. The lease provides for monthly rent, adjusted annually for inflation, plus common area costs, through September 2021. The lease may be terminated any time after September 2018, with 24 months notice. The adjusted monthly rent at August 31, 2019 and at August 31, 2018 was $3,347. Rental expense incurred for 2019 and 2018 was $41,468 and $43,055, respectively.

The following is a schedule of future minimum obligations under this operating lease as of August 31, 2019 based on the rate in effect at August 31, 2019:

Year ended August 31	Amount
2020	$ 40,163
2021	40,163
2022	3,347

(Continued)

8. OTHER COMMITMENTS AND CONTINGENCIES

KTEP receives an annual radio community service grant from the Corporation for Public Broadcasting (CPB). In addition to the established level of grant funding, the CPB adjusts funding with calculations dependent on the level of non-federal financial support provided to KTEP in the preceding year. The CPB periodically performs examinations of participating organizations. As a result of these examinations, the CPB may disallow certain non-federal financial support, which may require a station to return a portion of the grants funds to the CPB. Management believes that any disallowance of non-federal financial support would not have a material impact on the amount of grant proceeds received by KTEP.

In 2011, KTEP received a grant from the U.S. Department of Commerce to purchase a new transmitter. The grant paid for $43,840 of eligible cost and KTEP provided a matching amount. The grant provides that the Federal government retains a reversionary interest in the equipment paid with grants funds for ten years after completion of the project.

9. NEW ACCOUNTING PRONOUNCEMENTS

KTEP has not completed the process of evaluating the impact on its financial position that will result from adopting the following Governmental Accounting Standards Board (GASB) Statement:

- GASB No. 87, *Leases*, effective for fiscal years beginning after December 15, 2019. GASB No. 87 requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases.

SUPPLEMENTARY INFORMATION

KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO

SCHEDULE OF FUNCTIONAL EXPENSES

FOR THE YEAR ENDED AUGUST 31, 2019

	Program Services				Supporting Services			
	Programming and Production	Broadcasting	Program Information and Promotion	Total Program Services	Management and General	Fundraising and Membership	Total Supporting Services	Total Expenses
Salaries, wages and employee benefits	$ 132,424	$ 53,591	$ 19,223	$ 205,238	$ 103,882	$ 42,062	$ 145,944	$ 351,182
Programming expenses	268,527	-	-	268,527	-	-	-	268,527
Indirect administrative costs	-	-	-	-	90,263	-	90,263	90,263
Professional and contract services	-	36,021	1,973	37,994	24,172	2,103	26,275	64,269
Advertising	-	-	47,037	47,037	-	-	-	47,037
Rent	-	41,468	-	41,468	-	-	-	41,468
Electricity	-	14,292	-	14,292	-	-	-	14,292
Depreciation	-	892	-	892	-	-	-	892
Office and other supplies	-	1,374	-	1,374	3,590	100	3,690	5,064
Printing, postage and promotion	-	-	-	-	304	14,818	15,122	15,122
Repair and improvement expenses	-	9,318	-	9,318	-	-	-	9,318
Miscellaneous expenses	-	-	3,000	3,000	599	-	599	3,599
Total expenses	$ 400,951	$ 156,956	$ 71,233	$ 629,140	$ 222,810	$ 59,083	$ 281,893	$ 911,033

KTEP-FM
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SCHEDULE OF FUNCTIONAL EXPENSES

FOR THE YEAR ENDED AUGUST 31, 2018

	Program Services				Supporting Services			
	Programming and Production	Broadcasting	Program Information and Promotion	Total Program Services	Management and General	Fundraising and Membership	Total Supporting Services	Total Expenses
Salaries, wages and employee benefits	$ 129,616	$ 52,086	$ 18,729	$ 200,431	$ 102,579	$ 41,082	$ 143,661	$ 344,092
Programming expenses	281,758	-	-	281,758	-	-	-	281,758
Indirect administrative costs	-	-	-	-	92,133	-	92,133	92,133
Professional and contract services	-	50,627	1,535	52,162	25,474	2,012	27,486	79,648
Advertising	-	-	48,878	48,878	-	-	-	48,878
Rent	-	43,055	-	43,055	-	-	-	43,055
Electricity	-	15,865	-	15,865	-	-	-	15,865
Depreciation	-	8,917	-	8,917	-	-	-	8,917
Office and other supplies	-	-	-	-	4,940	-	4,940	4,940
Printing, postage and promotion	-	-	-	-	5,409	7,041	12,450	12,450
Miscellaneous expenses	-	-	-	-	967	-	967	967
Total expenses	$ 411,374	$ 170,550	$ 69,142	$ 651,066	$ 231,502	$ 50,135	$ 281,637	$ 932,703